another Treaty was signed which simplified transit of Nepal's Cargo through Kolkata port. However, in December 1999 relations received a jolt with the hijacking of IC 814 Indian Airlines aircraft from Kathmandu. Before this even India had been complaining about the use of Nepalese soil by ISI to sponsor insurgency in India especially in the North-east. Relations became strained further when a Pakistani embassy employee was found to possess fake Indian currency. However in 2000, the Nepalese Foreign Minister visited India and convinced India to resume the flights of Indian Airlines and lift the travel restrictions.

The Royal killings in June 2001, and accession of Gyanendra as the King followed by resignation of G.P. Koirala and intensification of the Maoist activities the situation within Nepal became turbulent and unstable. Sher Bahadur Deuba assumed Prime Ministership and tried to seek peace with the Maoists but failed. State of emergency was imposed. In 2002, Gyanendra dismissed Deuba, dissolved the Parliament and indefinitely put off elections. He appointed Lokendra Bahadur Chand as the PM who resigned in 2003. Thereafter, Surya Bahadur Thapa was appointed as PM who resigned in 2004. Sher Bahdur Deuba was again appointed as the PM. However, under the pretext of continuance of Maoist insurgency, Gyanendra declared a state of emergency, dismissed the Deuba government, and took complete control over the administration in February 2005. Indian condemned the 'Royal Coup' as a setback for democracy. Indian PM Manmohan Singh cancelled his visit to Dhaka for the SAARC Summit. India, USA and Britain stopped supply of arms to Nepal which put the Nepalese government in trouble and it faced difficulty in tackling Maoist insurgents. In April 2005, after a meeting between King Gyanendra and Manmohan Singh in the sidelines of the Afro-Asian Summit, India agreed to provide non-lethal military supplies to Nepal if the King facilitated the restoration of democracy. Seizing this strong stand of India, China jumped into the scene and Gyanendra responded quickly and started playing the China card. China promised to help Nepal to fight the Maoists. Chief of Army Staff of Nepal visited Beijing in June 2004. Gyanendra also met Chinese President Hu Jintao in the sidelines of the Afro-Asian Summit who reciprocated quite positively and impinged upon improving Sino-